



Mortgage Electronic Registration Systems (MERS)

The Mortgage Electronic Registration System (MERS) is a system that tracks the assignment of mortgage during the life of the loan. The MERS system has eliminated the need to record a paper assignment of mortgage. The Mortgage / Deed of Trust will be recorded as a MERS security instrument.

Loans should utilize MERS and close on a MERS as Original Mortgagee (MOM) document. The Mortgage/Deed of Trust must have the MERS language included and Mortgage Identification Number (MIN) shown on the front page. The MERS MIN should be located on the upper right-hand corner of the Note.

Short Form Title should be used on all eligible loans. For those loans closing in the name of "MERS", the endorsement language should name the "(Name of lender that loan closed under), its successors, and/or assigns appearing of record as Mortgage Electronic Registration Systems, Inc. as the insured." See *Title Insurance Policy Requirements*, [Doc. #4606](#), for more information.

MERS requires that all MOM loans are originated by a MERS member and any non-member customers that close MOM loans are required to apply for membership. Once the customer is approved as a MERS member they will be assigned their own ORG ID by MERS. See [Memo #12016](#) for further details. For information on becoming a MERS member, please visit <https://www.mersinc.org/join-mers/join-mers>.

Flagstar Bank's MERS ORG ID# is: 1000525

MERS MEMBERSHIP

MERS TPO MEMBERSHIP

Below is an overview of the MERS TPO membership:

- The customer will complete a short and simple MERS TPO membership application and send in their \$150.00 annual membership fee.
- They will be assigned a seven-digit MERS ORG ID for their company and it will be activated on the MERS system.
- Their company will have not access to the MERS system

MERS LITE MEMBERSHIP

Below is an overview of the MERS Lite membership:

- Customer will sell whole loans (servicing released) on a flow basis within 30 days or less
- Customer will be assigned a **seven-digit** MERS ORG ID and will be responsible for generating the MIN for all loans
- Customer will register the loan on the MERS system within seven calendar days of disbursement
- Customer will transfer the loan (MIN) to the investor upon receipt of the purchase advice confirmation

FEES

MERS members that do not maintain the appropriate MERS membership type or MERS Lite members that fail to generate, register or transfer MIN Numbers within the timeframe outlined by MERS Inc. will be assessed a \$25.00 fee per loan. If you are unsure of which membership to apply/maintain, please contact the MERS Regional Sales Director that covers your state at (800) 646-MERS or visit www.mersinc.org.



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FLAGSTAR'S MERS PROCEDURES

CORRESPONDENT TRANSACTIONS

Correspondents must be MERS LITE members with MERS and set up in Flagstar's system as MERS LITE. Members must generate their own MIN and are required to add their ORG ID in the "Originating Lender" field within the MERS system. Please ensure that you perform the following on each correspondent transaction:

- Register the loan on the MERS system within seven calendar days of disbursement
- Transfer the servicing rights to Flagstar no later than five days after loan purchase by Flagstar

For correspondents that are MERS Lite customers that are FHA SO approved, the system will automatically generate the MIN for their FHA table funded loans at time of loan registration. For all other MERS Lite customers (FHA Authorized, Delegated or FHA Dual), the customer must generate their own MIN.

RETURNED CORRESPONDENT LOANS FOR FLAGSTAR PURCHASE

For Correspondent originators that are in Flagstar's system as MERS Flagstar (i.e. MERS TPO – Third Party Originator, using Flagstar Bank's MERS MIN number), and that have satisfied the outstanding Post Closing E&O with intent for Flagstar to purchase the returned loan, the following procedures are required.

As part of the conditions of the purchase of your returned loan, the Post Closing Department will require evidence of:

- A copy of the paper recorded assignment removing MERS in place of the name of the Correspondent lender OR,
- A signed letter from the Correspondent lender stating that the assignment to be recorded was sent in the name of the Correspondent lender.
- Additionally, the executed assignment from the Correspondent lender in the name of Flagstar Bank will be required for recording by the Final Documents Department.

The above procedure is required by MERS Inc., as the MERS MIN number is associated with Flagstar Bank and cannot be assigned back to the Correspondent lender if the loan was not originally purchased by Flagstar Bank and then subsequently returned to the Correspondent.

Flagstar will deactivate the MIN number when the loan is returned to the Correspondent Lender. At this point the loan is considered to be a non-MOM loan and requires the Correspondent to record a paper assignment removing MERS in favor of the Correspondent. Flagstar requires a signature acknowledging your responsibility to record the assignment out of MERS' name and into the Correspondent's name. Please use *Acknowledgement for Recorded Assignment*, [Doc. #3755](#).

TABLE-FUNDED TRANSACTIONS

Originators that table fund transactions only are set up in Flagstar's system as MERS Flagstar and are required to provide us with their MERS ORG ID, unless they only close in Flagstar's name only. Flagstar Bank generates the MIN and is responsible for ensuring your ORG ID is transmitted in the "Originating Lender" field within the MERS system.

Originators are not required to become a MERS member for any loan closing in Flagstar Bank's name. Flagstar Bank will be responsible for ensuring that all loans contain our ORG ID in the MERS registry. Flagstar will populate the MERS MIN number at time of loan registration. Please note that the closing in the name of may vary depending on the state and/or FHA approval type. For example, lenders that close their



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FHA Sponsored Originator (SO) loans in Flagstar's name may still need to become a MERS TPO or LITE member for their non-FHA SO loans.